

Palantir Technologies Inc.

PLTR NYSE

Hold	\$171.54 ▼ 0.59%	12M Price Target \$185.00	52-Week Range \$106.37 – \$207.52	Market Cap \$412.22B
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PLTR: Cooling After Karp Bump, Policy Still Friendly

WHAT HAPPENED

- Stock is down 0.6% and has drifted lower for three straight days after popping to \$179 on Aug 13. Translation: the Karp "good news" from Motley Fool this morning isn't enough to reignite the rally — buyers are exhausted at these levels and the stock is digesting recent gains.
- Options flow is quietly bullish though — that big \$172.5 call buy expiring this month (4.4x the existing open interest, meaning traders are opening brand new bullish bets, not closing old ones) tells me somebody's betting on a bounce back above \$175 in the next couple weeks.

WHY IT MATTERS

Here's what I think is really going on: PLTR has become the poster child for the AI-meets-government-spending trade, and right now that trade is in a holding pattern waiting for the next catalyst. The stock is sitting at 64% of its 52-week range — not overheated, not oversold — which usually means it needs a real news catalyst (contract win, earnings, policy announcement) to break out. With the current administration still pushing aggressive defense modernization and AI adoption across federal agencies, the fundamental tailwind is intact, but at a \$412B market cap, PLTR needs to keep landing whale-sized contracts to justify the multiple. Watch for: any DoD or ICE contract announcements this fall — those are the real fuel.

POLICY & POLITICAL WATCH

The big one to watch is the FY2027 defense authorization and appropriations cycle — the Pentagon's AI and software modernization budget lines are where PLTR eats, and early markups suggest continued expansion of the Chief Digital and AI Office (CDAO) budget. Also on the radar: the administration's ongoing push to consolidate federal data systems under AI platforms (executive orders from earlier this year explicitly favor "commercial off-the-shelf" AI solutions — which is PLTR's Foundry and AIP to a T). Headwind to watch: any bipartisan privacy legislation or AI oversight bill that adds compliance friction to government AI deployments — that would slow their sales cycle even if they'd ultimately comply.

IS IT EXPENSIVE?

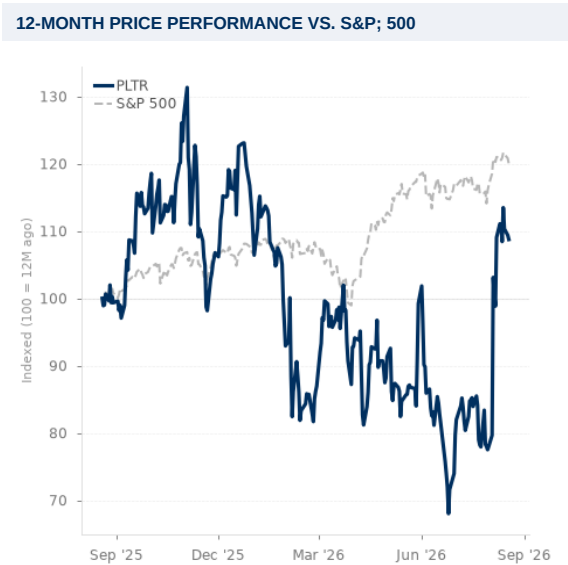
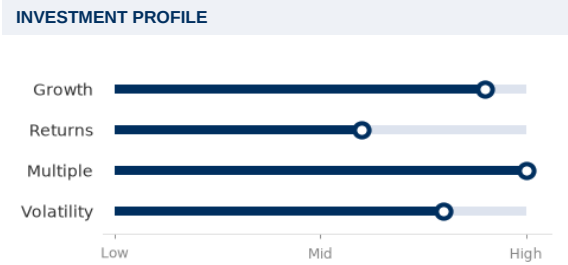
This stock is expensive by every conventional measure — trading around 85x forward sales, meaning investors are paying \$85 for every \$1 of revenue the company will book next year. For comparison, most enterprise software peers trade at \$10-15 per \$1 of revenue. The bull case says that's justified because PLTR is basically the only pure-play way to bet on government AI, and their commercial business is growing 40%+ — but at this multiple, one bad quarter or one lost contract could take 30% off the stock in a week.

Langston's | Equity Research Coverage

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Key Data	
Price (USD)	\$171.54
12M Price Target	\$185.00
Upside / (Downside)	+7.8%
Market Cap	\$412.22B
FY2026E Revenue	\$4,850M
FY2027E Revenue	\$6,400M
FY2026E EPS	\$0.62
FY2027E EPS	\$0.88
Fwd P/E	276.7x



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$195.00	\$175.00	\$155.00
6 Months	\$220.00	\$185.00	\$140.00
1 Year	\$250.00	\$190.00	\$120.00
2 Years	\$320.00	\$220.00	\$100.00
5 Years	\$500.00	\$300.00	\$80.00
10 Years	\$800.00	\$400.00	\$60.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+1.76% today, +4.51% for the week) — likely oil price strength and continued fossil fuel policy support under the current administration. Healthcare also catching a bid (+1.60%), possibly on drug pricing clarity.

COOLING OFF: Consumer Discretionary (-2.42% for the week) and Communication Services — classic signal that consumers are pulling back and mega-cap tech is losing some steam.

ROTATION WATCH: Money is quietly rotating OUT of high-multiple tech (where PLTR lives) and INTO energy and defensives. That's a subtle headwind for PLTR — even with great fundamentals, if the rotation continues, multiple compression is the risk.

RELATED PLAY: If you like the government AI thesis but want less valuation risk, look at defense primes with growing software businesses — Lockheed, RTX, or infrastructure plays like Arista Networks (ANET), which the Motley Fool piece today directly compared to PLTR.

WHO'S WINNING IN THIS SPACE?

- ANET (Arista Networks): Networking backbone for AI data centers — benefits from the same AI capex wave but trades at a much more reasonable multiple.
- MU (Micron): Highlighted in the Zacks piece alongside PLTR — memory chips are the picks-and-shovels play on AI infrastructure buildout.

PLTR CONTEXT: PLTR has been the leader of the AI-software pack for months, but it's now lagging its own recent highs while networking and semi names keep making new ones. That's a subtle tell — the market may be starting to prefer AI infrastructure (chips, networking) over AI software applications at these valuations.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I love the business, I don't love the price. Cautiously optimistic, not pounding the table.

POSITION SIZE: Keep it small — 2-3% of portfolio. This stock can swing 10% on any given week, so size it to where a 30% drawdown wouldn't wreck your sleep.

ENTRY POINTS: I'd wait for a pullback to \$150-160 to add meaningfully. If you don't own any and want a starter, buy a third here and save dry powder for dips.

TIME HORIZON: 12-24 months. The catalyst I'm watching: Q3 earnings (early November) and any major DoD contract announcements this fall.

WHEN TO BAIL: If revenue growth drops below 30% YoY, if they lose a major government contract, or if Karp announces he's stepping back. Also, if the stock breaks below \$140 on heavy volume, the technical picture gets ugly fast.

HEDGING: Simplest hedge — set a mental stop-loss at \$150 and just sell if it breaks. For more sophisticated protection, buy a put option 10-15% below current price expiring in 3-6 months — that's like buying insurance where you pay a premium to cap your downside.